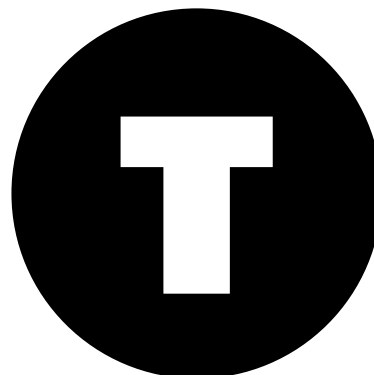




- **All the PMS schemes delivered positive returns to investors in the past one year**
- **BSE MidCap and BSE SmallCap indices rallied over 60% each in the past one year till February 2024**
- **Equity-focussed PMS schemes delivered up to 135% returns to investors in the past year, while debt-focussed ones returned 34.39%**
- **The AUM of the PMS industry has grown by 438% to over ₹6.2 lakh crore as of January 2024 from ₹1.15 lakh crore in FY15**
- **For investors, the next couple of years should be fairly decent, according to a select group of market watchers, albeit not as good as the last year**



THE WEALTHY INVESTOR in India has never had it so good. For that, they must thank the robustness and resilience of the country's financial markets. And their money managers. While not a single portfolio manager catering to the affluent class in India saw a fall in their portfolios in the past 12 months till February 2024, almost 99% of portfolio management services (PMS) schemes delivered double-digit returns, mirroring the vitality of the benchmark BSE Sensex that surged 23%. The broader indices—BSE MidCap and BSE SmallCap—advanced more than 60% each, providing support to multi-cap, flexi-cap, small- and mid-cap schemes, which delivered high returns to investors. In fact, the Top 5 alpha generators recorded gains of more than 100%. Fund managers say the domestic equity market will deliver similar performance in the long run, with the market sentiment being buoyed by the robust economy and the government's thrust on capex. Alpha returns are returns higher than the benchmark index.

Despite the stiff minimum investment of ₹50 lakh, the PMS space has been gaining momentum—visible in the rising assets under management (AUM). According to markets regulator Securities and Exchange Board of India (Sebi), the AUM of the PMS industry has grown by 438% to over ₹6.2 lakh crore as of January 2024 from ₹1.15 lakh crore at the end of FY15.

THE WINNING STRATEGIES

Let's take a closer look at the top alpha generators. Topping the list is Invasset LLP's Growth Pro Max scheme, which gave returns of 134.95% in the past year, and 50.78% CAGR returns in the past two years, according to portal PMS Bazaar. Anirudh Garg, Partner and Fund Manager at Invasset, says the outperformance in the past year can be attributed to its focus on understanding market biases. "The foundation of our AAID (advanced algorithm for investment decisions) strategy is